

HYPOTHETICAL INVESTMENT PORTFOLIO

CodeAlpha Finance & Investment Analysis Internship — Task 3

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1. Objective

The objective is to construct a hypothetical ₹1,00,000 diversified investment portfolio containing stocks, ETFs and cryptocurrency, and to explain the rationale for each allocation. This is an academic portfolio exercise, not a personal investment recommendation.

2. Portfolio Allocation

Asset class	Instrument	Allocation	Amount (₹)	Academic rationale
Stocks	Reliance Industries	25%	25,000	Diversified Indian business exposure
Stocks	TCS	15%	15,000	Large-cap IT and digital/AI exposure
Stocks	HDFC Bank	15%	15,000	Private banking and financial-services exposure
ETF	Nifty 50 ETF	20%	20,000	Broad diversification across large Indian companies
ETF	Gold ETF	10%	10,000	Diversifier during equity-market stress
Crypto	Bitcoin (BTC)	10%	10,000	Small allocation to established digital-asset exposure
Crypto	Ethereum (ETH)	5%	5,000	Small allocation to blockchain ecosystem exposure
TOTAL		100%	₹1,00,000	

3. Allocation Logic

Stocks (55%): The portfolio uses three large Indian companies from different sectors. Reliance provides diversified business exposure, TCS provides technology exposure, and HDFC Bank provides banking exposure. The allocation is intentionally spread rather than concentrated in one company.

ETFs (30%): The Nifty 50 ETF is intended to provide broad equity-market diversification. The Gold ETF is included as a potential diversifier because gold can behave differently from equities during periods of market stress.

Crypto (15%): Crypto is limited to a small portion because of its high volatility and uncertainty. Bitcoin receives the larger share of the crypto allocation, while Ethereum receives a smaller share for diversification within the asset class.

4. Risk Management Framework

The hypothetical portfolio uses diversification rather than relying on a single asset. The crypto allocation is capped at 15%, individual stocks are kept below 25%, and 30% is placed in ETFs to reduce company-specific concentration. Rebalancing can be considered periodically if actual weights move materially away from the intended allocation.

5. Expected Portfolio Characteristics

Dimension	Assessment
Diversification	High – stocks, ETFs and crypto are included
Growth exposure	Moderate to High
Risk level	Moderate to High because of equity and crypto exposure
Liquidity	Generally high for listed stocks/ETFs; crypto liquidity varies
Main risks	Market volatility, company-specific risk, interest rates, regulation and crypto volatility

6. Conclusion

The ₹1,00,000 model portfolio demonstrates how different asset classes can be combined to balance growth opportunities and diversification. The portfolio is intentionally hypothetical. Actual investment decisions would require assessment of financial goals, time horizon, risk tolerance, taxes, costs and current market conditions.

Important note: The portfolio is prepared solely for the CodeAlpha internship project and is not personalized financial advice or a recommendation to buy or sell any security or cryptocurrency.